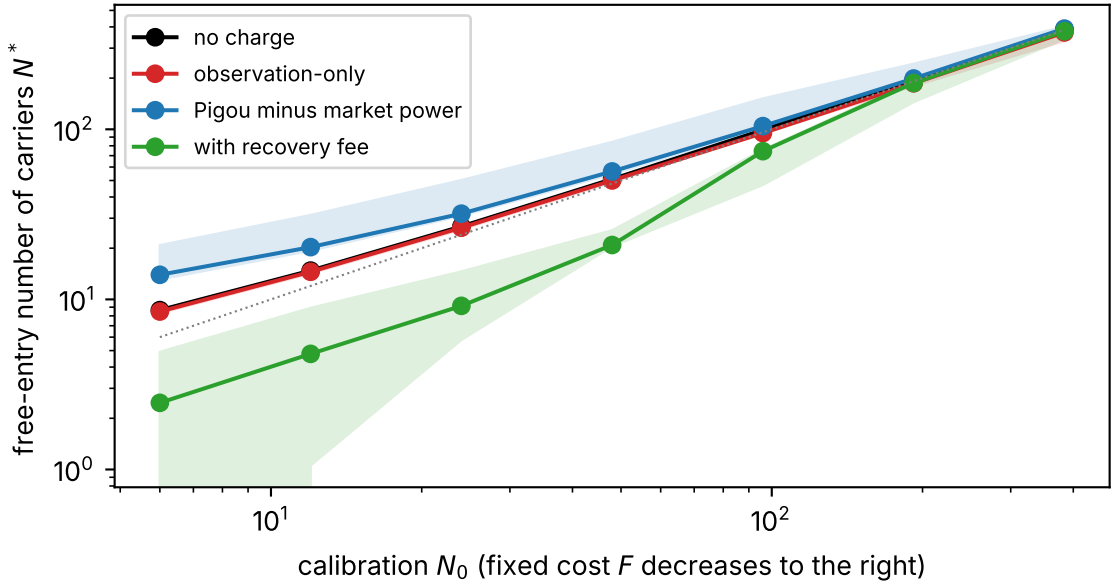
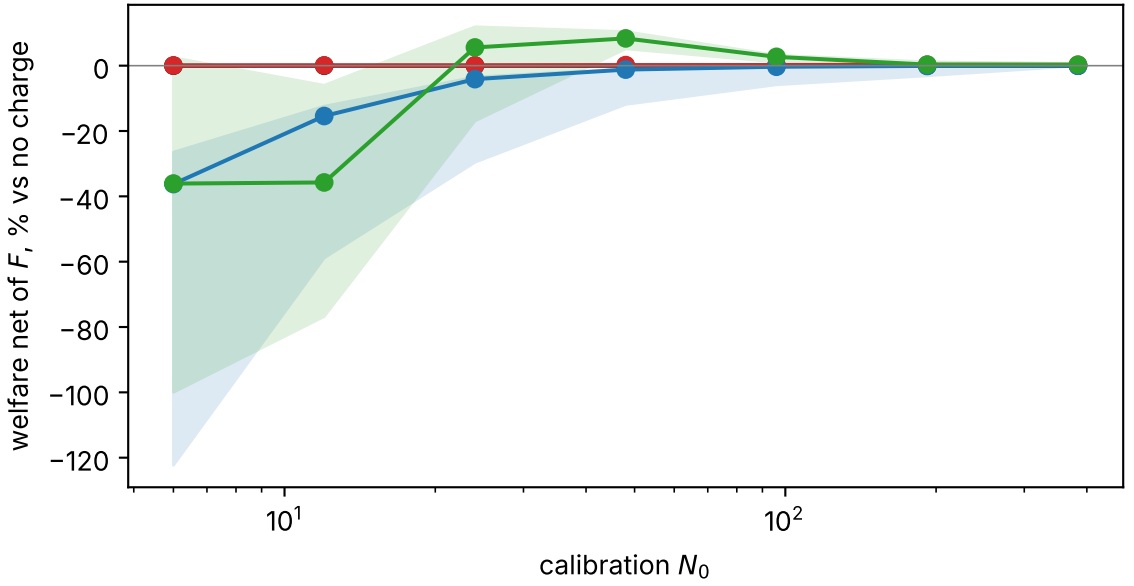

no charge
observation-only
Pigou minus market power
with recovery fee
free-entry number of carriers N^*
10^0
10^1
10^2
calibration N_0 (fixed cost F decreases to the right)


welfare net of F, % vs no charge
0
−20
−40
−60
−80
−100
−120
10^1
10^2
calibration N_0